


Households : Maximizing Utility
get utility from C, l

C = consumption

l = leisure (non-work time)

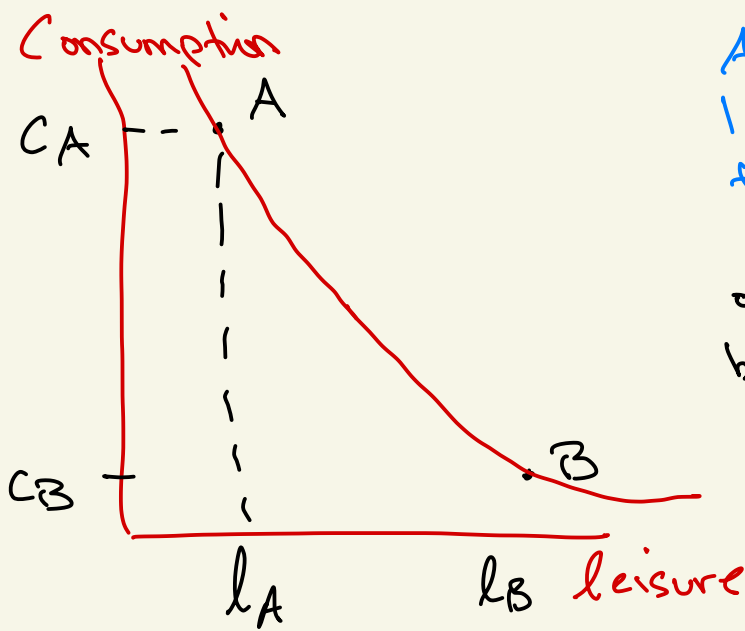
* Assume there is only one period
(no future) $\Rightarrow$ no savings

$$\text{Utility} = U = U(C, l)$$

Graph trick : graph points of
indifference (equal utility)

$\Rightarrow$ points above are better,
points below are worse

Along an Indifference Curve
 $U(C_1, l_1) = U(C_2, l_2)$



Assumptions

1. More is preferred to less

if $C \downarrow$ $l \uparrow$ in order for me to be indifferent

downward slope to

IC
(Indifference Curve)

2. Diversity has value

$\Rightarrow \frac{\Delta C}{\Delta l}$ is going to change along IC

rise over run

IC flatter as $l \uparrow$

IC is convex